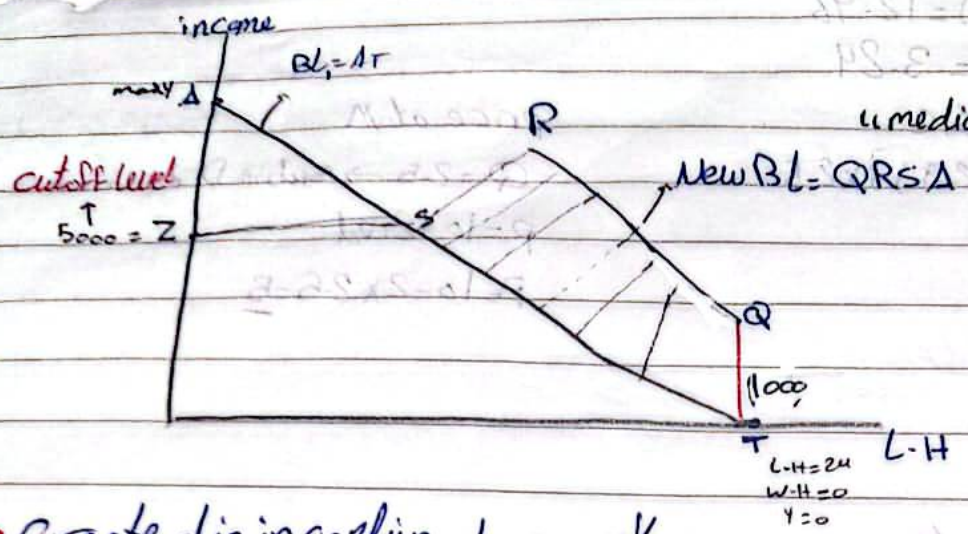
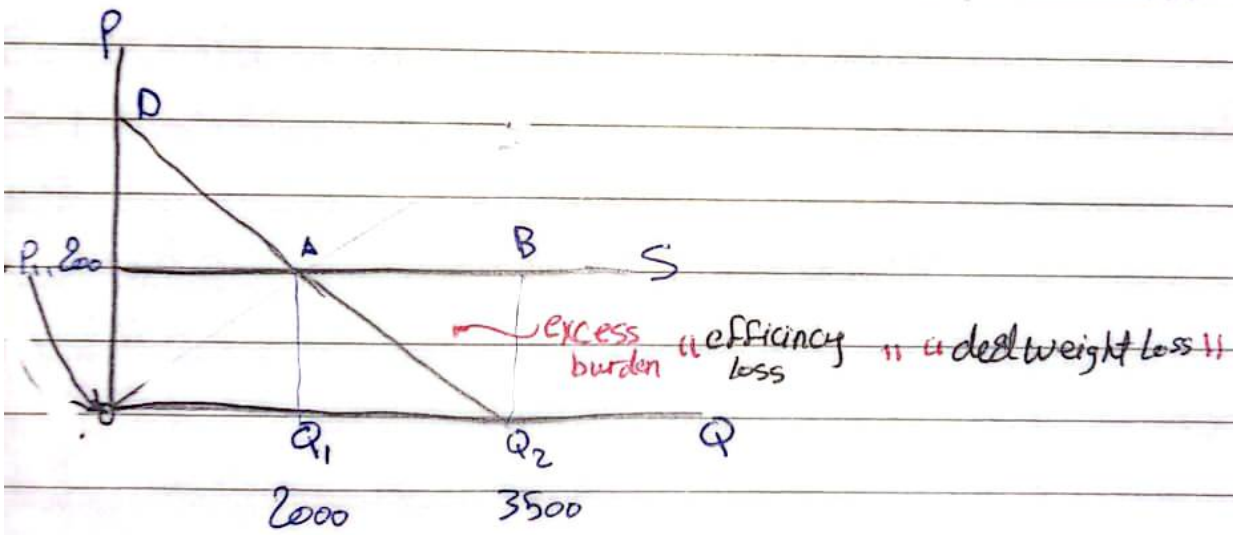
* medicaid



"medicaid" = 100$ → service.

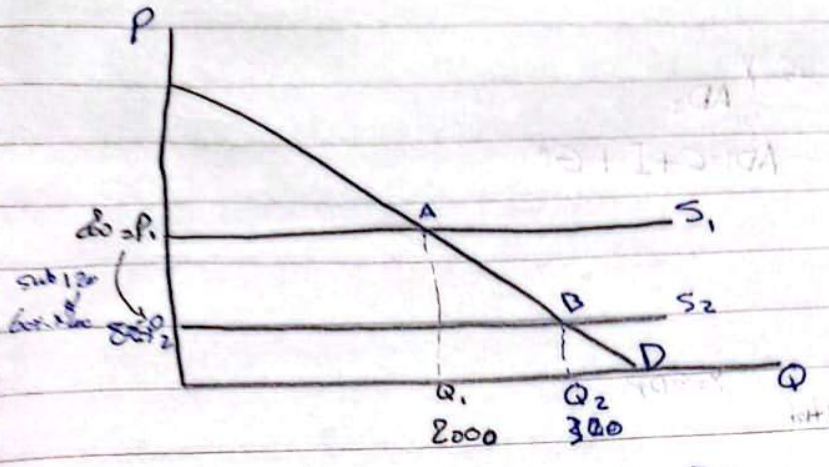
→ Create disincentive to work



. constant mc.

* Cost of sub = 200 x 3500 = 700000 = (area $P_1 0 Q_2 B$)
* Δ in C.S = 0,5 x (2000 + 3500) 200 = 550000 (area $P_1 0 Q_2 A$)

ex if subsidy = 60% cost -



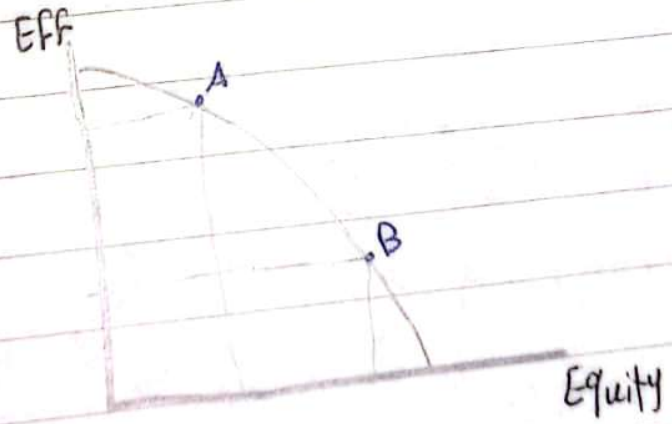
Δ in C.S $= \frac{1}{2} \times (2000 + 3000) \times 120 = 300000$

sub/unit $= 200 \times 60\% = 120$

cost of sub $= 120 \times 300 = 360000$

E.B $= 60000$

Trade off < efficiency / equity



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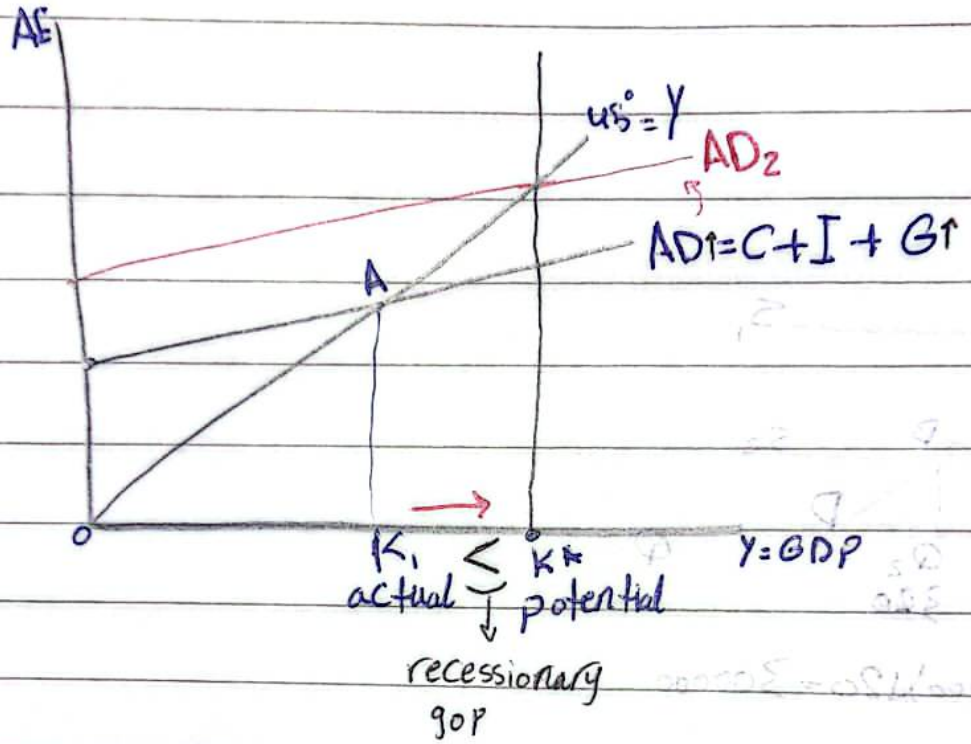
effect of Gov spending on economic stability.